

E*Plan Stock Plan Services — Year-End Supplemental Information

Participant: Priyanka Raghunathan | Employer: Cascade Data Systems, Inc. | Tax Year 2025

This statement is NOT filed with the IRS. It reports the cost-basis (fair-market-value-at-vest) information for your equity-compensation shares, which may not appear on your Form 1099-B.

How RSU cost basis is determined

When restricted stock units (RSUs) vest, the fair-market value of the shares on the vest date is included in your W-2 wages (Box 1, and this year the Box 14 RSU figure of 48,000.00). That fair-market value is the cost basis of the vested shares. This statement reports that fair-market value for each vest so you have the basis figures for shares acquired under the plan.

RSU Vesting History — All Tranches

Vest date	Grant	Shares vested	Shares withheld	Net shares released	FMV per share	Income recognized (in W-2)
2022-08-15	RSU-2021	150	50	100	\$58.00	\$8,700.00
2023-08-14	RSU-2021	200	68	132	\$110.00	\$22,000.00
2024-08-14	RSU-2022	180	61	119	\$96.50	\$17,370.00
2025-02-18	RSU-2022	200	68	132	\$90.00	\$18,000.00
2025-08-18	RSU-2023	300	101	199	\$100.00	\$30,000.00

Income recognized in 2025 (the two 2025 vests): 48,000.00, matching Form W-2 Box 14. Shares withheld for tax at each vest are already reflected in Box 2 withholding.

Outstanding Unvested Units (as of 12/31/2025)

Grant	Grant date	Granted	Vested to date	Unvested	Next vest	Next-vest shares
RSU-2022	2022-08-15	720	380	340	2026-08-14	180
RSU-2023	2023-02-15	600	300	300	2026-02-15	150
RSU-2024	2024-08-15	480	120	360	2026-08-15	120

Unvested units have no tax consequence until they vest. Future vesting income will be added to wages in the year of vest.

Adjusted Cost Basis for Shares Sold in 2025

The following lot was sold during 2025 and appeared on your Form 1099-B with cost basis NOT reported. The adjusted basis equals the fair-market value at vest (the 2023-08-14 tranche, \$110.00/share).

Lot sold	Vested from	Shares	Sale date	Proceeds	Broker-reported basis	Adjusted basis (FMV at vest)	Term
CASC	2023-08-14 vest	120	11/06/25	14,400.00	0.00	13,200.00	Long

Adjusted basis = 120 shares × \$110.00 fair-market value at vest = 13,200.00. The broker reported \$0.00 basis for this lot because it was not required to report basis for equity-compensation shares.

Remaining Vested Shares Held (Tax-Lot Detail)

Tax lot (vest date)	Shares held	FMV at vest	Cost basis	Current price	Market value
2022-08-15	100	\$58.00	5,800.00	\$58.40	5,840.00
2023-08-14	12	\$110.00	1,320.00	\$58.40	700.80
2024-08-14	119	\$96.50	11,483.50	\$58.40	6,949.60
2025-02-18	132	\$90.00	11,880.00	\$58.40	7,708.80
2025-08-18	67	\$100.00	6,700.00	\$58.40	3,912.80

Tax-lot detail for vested employer shares still held in your brokerage account. The 2023-08-14 lot shows only the 12 shares remaining after the 120-share sale on 11/06/25.

Statutory Tax Withheld at Vest — Detail

At each vest, shares were sold/withheld to cover statutory taxes. The withheld value is already reflected in your Form W-2 Box 2 (federal), Box 4 (social security), and Box 6 (Medicare).

Vest date	Income	Shares withheld	FMV	Withheld value	Federal (22%)	SS (6.2%)	Medicare (1.45%)
2022-08-15	8,700.00	50	\$58.00	2,900.00	1,914.00	539.40	126.15
2023-08-14	22,000.00	68	\$110.00	7,480.00	4,840.00	1,364.00	319.00
2024-08-14	17,370.00	61	\$96.50	5,886.50	3,821.40	1,076.94	251.87
2025-02-18	18,000.00	68	\$90.00	6,120.00	3,960.00	1,116.00	261.00
2025-08-18	30,000.00	101	\$100.00	10,100.00	6,600.00	1,860.00	435.00

Projected Future Vesting Calendar

Vest date	Grant	Shares vesting	Est. FMV	Est. income (pre-tax)
2026-02-15	RSU-2023	150	\$58.40	8,760.00
2026-08-14	RSU-2022	180	\$58.40	10,512.00
2026-08-15	RSU-2024	120	\$58.40	7,008.00
2027-02-15	RSU-2023	150	\$58.40	8,760.00
2027-08-15	RSU-2024	120	\$58.40	7,008.00
Total projected		720		42,048.00

Projected amounts use the most recent closing price (\$58.40) and are estimates only; actual income is the fair-market value on each future vest date. Cascade Data Systems pays no dividend, so no dividend equivalents accrue on unvested units.

Annual Equity-Compensation Income Summary

Year	Vests	RSU income	Shares released (net)	Year-end shares held
2022	1	8,700.00	100	100
2023	1	22,000.00	132	232
2024	1	17,370.00	119	351
2025	2	48,000.00	331	430 (after 120-share sale)

Methodology & Definitions

- Fair market value (FMV): the closing price of one share on the vest date, used to value RSU income and to set cost basis.
- Shares withheld for tax: shares automatically sold/withheld to cover statutory withholding at vest; the value is already included in your W-2 Box 2 withholding.
- Adjusted cost basis: fair-market value at vest × number of shares.
- Holding period: measured from the vest date. Shares held more than one year are long-term.

Restricted Stock Unit Award Summary

An RSU is a promise to deliver shares of company stock on a future date, subject to a vesting schedule. No shares are issued and no amount is taxable until vesting occurs.

On each vest date, the fair-market value of the shares that vest is treated as ordinary compensation income and is included in your Form W-2 wages (boxes 1, 3, and 5). Applicable income, Social Security, and Medicare taxes are withheld at vest, typically by withholding a portion of the vesting shares ('sell-to-cover').

Your two outstanding awards are RSU-2022A (granted August 2022, four-year annual vesting) and RSU-2023B (granted February 2023, four-year vesting with a portion accelerated). Remaining unvested units continue to vest on schedule provided service conditions are met.

When you later sell vested shares, your cost basis equals the fair-market value used to measure the compensation income at vest. This is the figure to report on Form 8949.

Vesting Mechanics and Tax Withholding

Supplemental wage withholding. Equity compensation is generally withheld for federal income tax at the statutory supplemental rate of 22% (37% on amounts over \$1 million in a year). If your marginal tax rate is higher than 22%, withholding at vest may be insufficient and can result in a balance due when you file.

Shares withheld for taxes are valued at the same fair-market value as the vesting shares and the value is reported in your W-2 withholding (box 2).

Section 83. RSUs are taxed under section 83 upon delivery of the shares. No section 83(b) election is available for RSUs (such elections apply to restricted stock, not units).

Mobile and cross-border employees. If you worked in more than one tax jurisdiction during the vesting period, a portion of the income may be sourced to each jurisdiction. Washington imposes no state income tax.

Employee Stock Purchase Plan (ESPP) Overview

You are eligible for the company ESPP but did not enroll during the current offering period; no ESPP shares were purchased this year. This section is included for completeness.

Under a qualified section 423 ESPP, the discount is generally taxed when you sell the shares. A disqualifying disposition (sale within two years of the offering date or one year of purchase) creates ordinary income equal to the discount, which is added to your basis.

Broker-reported basis for ESPP shares is also frequently shown as a lower figure than the value included in wages; your stock-plan records reflect the applicable basis.

Frequently Asked Questions

Why does my 1099-B show \$0 basis? Brokers are not required to report basis for shares acquired through equity-compensation plans. The reported figure reflects what was paid out of pocket.

Where is the fair-market value at vest reported? It is shown for each vest in the vesting history table in this statement.

How do I know the holding period? Measure from the vest date. Shares held more than one year qualify for long-term capital gain treatment.

What records should I keep? Keep this supplemental statement, your vesting confirmations, and your brokerage trade confirmations for at least three years after filing.

Recordkeeping and Important Notes

Keep this supplemental statement with your permanent tax records. It is the primary source for the adjusted cost basis of equity-compensation shares you sell.

This statement is informational and is not filed with the IRS. Your broker files Form 1099-B; the basis it reports may differ from the adjusted basis shown here.

If you sell additional vested shares in a future year, request an updated supplemental statement for that year's sales.

Equity compensation has cross-border implications for visa holders and employees who relocate. If your tax residency changes, consult a qualified tax professional before selling.